



McAlester City Council

AGENDA REPORT

Meeting Date:	03.25.25	Item Number:	4
Department:	City Manager		
Prepared By:	Elizabeth Neboyia	Account Code:	N/A
Date Prepared:	03.20.25	Budgeted Amount:	N/A
		Exhibits:	6

Subject

Discussion and possible action to authorize the mayor to sign the Collective Commitment participant agreement to support the Atoka Energy Park Project. This commitment of support requires only demographical information to be utilized as part of the project to identify the greater metropolitan area, no city funding will be authorized for this commitment.

Recommendation

Motion to authorize the mayor to sign the Collective Agreement.

Discussion

Exhibits:

1. Collective Commitment from Surrounding Counties to Support the Atoka Energy Park Project
2. Email – Introduction; Atoka Energy Park Initiative
3. Atoka Energy Park Project Profile
4. Infrastructure As A Service
5. Customer Timeline; Step by Step Guide
6. Master Utility Service Agreement Overview

Approved By

		Initial	Date
Department Head			
City Manager	D.Andren		10 MAR 25

Date: January __, 2025

To: The City of City of McAlester / Pittsburg County

From: Atoka County, Bryan County, Johnston County, Pontotoc County, Pushmataha County, Choctaw County, McCurtain and Coal

Subject: Collective Commitment from Surrounding Counties to Support the Atoka Energy Park Project

Dear _____,

We, the undersigned counties, proudly express our collective commitment to support the City of Atoka and the Atoka Energy Park project. This transformative initiative represents a significant opportunity to foster economic growth, enhance energy resilience, and create sustainable job opportunities that will benefit Southeast Oklahoma and all participating counties and communities.

Acknowledgment of Shared Vision

The counties of Atoka, Bryan, Pittsburg, Johnston, Pontotoc, Pushmataha, Choctaw, Coal and McCurtain stand united in recognizing the immense potential of the Atoka Energy Park project. We understand the long-term economic and infrastructural benefits that this project will deliver, not only to the City of Atoka but to the broader region, strengthening our collective economies and improving quality of life for our residents.

Commitment to the Master Utility Service Agreement

As a demonstration of our commitment, we pledge to collaborate with the City of Atoka to finalize and co-sign the Master Utility Service Agreement (MUSA). By leveraging the unique strengths, resources, and populations of each of our counties, we aim to assist Atoka in qualifying for public benefit programs, securing necessary approvals, and providing the Atoka Energy Park with the strongest opportunity for success.

Population & Financial Data Contribution

Each county shall provide up-to-date population numbers, financials and other relevant demographic data to assist in project planning, qualification for public benefit programs, and long-term development strategies.

Recognition of Economic Benefits

The Atoka Energy Park project promises to:

- Create significant direct and indirect employment opportunities across all phases of development and operation.
- Enhance infrastructure capabilities, including energy and utility systems, that will have a positive ripple effect on regional industries.
- Generate increased tax revenues and attract additional investments to our counties.
- Serve as a catalyst for innovation and technological advancement in energy solutions.

Conditions of Commitment

The following represent conditions to ensure our participation:

1. **Direct Benefit and Profit Sharing**
 - Direct profit-sharing mechanisms from the Atoka Energy Park project will be implemented for each participating county to ensure equitable benefits.
2. **Project Plan Approval**
 - The project plan, including underwriting, shall be reviewed and approved by the lender/underwriting entity to ensure feasibility and alignment with financial requirements.
3. **Contractor Qualifications**
 - The project must be developed and executed by highly qualified contractors who meet or exceed the standards of the attached list of vendors. All contractors must be vetted through the underwriting process to ensure quality and compliance.
4. **Risk Mitigation**
 - Implementation of all risk mitigation strategies outlined within the project feasibility study to ensure the project's long-term sustainability and success.
5. **Job Force Development**
 - The inclusion of the surrounding counties in workforce development initiatives and programs is a critical component of this project. Training and employment opportunities will be prioritized to ensure residents across all counties benefit directly from the project.
6. **Infrastructure Expansion**
 - Commitment from the lender and the City of Atoka to consider and develop additional infrastructure projects, such as fiber or other civil infrastructure, to support both the project and the broader needs of the region.

Roles and Responsibilities

The participating counties agree that their management and operational responsibilities shall be limited to revenue distribution derived from the Atoka Energy Park project. This ensures that the counties can focus on leveraging the benefits of the project while maintaining transparency and equity in the allocation of funds.

All investments and project development activities to date have been borne exclusively by the development partners and the City of Atoka. As such, the following responsibilities remain with the City of Atoka and development contractors:

1. **Regulatory Compliance and Permitting**
 - The City of Atoka shall oversee and remain responsible for all regulatory compliance, permitting processes, and meeting all local, state, and federal requirements.
2. **RFP and Vendor Management**
 - The City of Atoka will establish and manage the parameters for all Requests for Proposals (RFPs) and ensure the selection of vendors and contractors aligns with the project's strategic objectives and city regulations.
3. **Project Management and Operations**
 - The City of Atoka, in partnership with the development entities, will retain full responsibility for the operational management of the Atoka Energy Park, ensuring efficient execution and adherence to established timelines.

4. **Revenue Distribution**

- The counties will participate in the distribution of revenues generated by the project, as determined by agreed-upon by each counties profit-sharing agreement with the City of Atoka.

5. **Support and Advocacy**

- Counties will provide ongoing support through advocacy, public engagement, and ensuring alignment between the project's objectives and regional needs.

Commitment to Collaboration and Success

Our counties are fully committed to fostering a collaborative environment that ensures the Atoka Energy Park project achieves its goals. Together, our collective region looks forward to assisting in the development of a secure foundation for sustainable growth and innovation that will serve as a model for other regions across Oklahoma and other rural communities across the United States.

We look forward to the partnership with the City of Atoka and all involved stakeholders to realize the full potential of this transformative project.

Sincerely,

Atoka County

Name: _____

Date: _____

Title: Commissioner, Atoka County

Email: _____

Phone: _____

Bryan County

Name: _____

Date: _____

Title: Commissioner, Bryan County

Email: _____

Phone: _____

Signature Page Continued

Pittsburg County

Name: _____

Date: _____

Title: Commissioner, Pittsburg County

Email: _____

Phone: _____

Johnston County

Name: _____

Date: _____

Title: Commissioner, Johnston County

Email: _____

Phone: _____

Pontotoc County

Name: _____

Date: _____

Title: Commissioner, Pontotoc County

Email: _____

Phone: _____

Pushmataha County

Name

Date: _____

Title: Commissioner, Pushmataha County

Email: _____

Phone: _____

Signature Page Continued

Choctaw County

Name

Date: _____

Title: Commissioner, Choctaw County

Email: _____

Phone: _____

Coal County / Coalgate

Name

Date: _____

Title: Commissioner, Coal County

Email: _____

Phone: _____

Atoka Energy Park Project Profile

The Atoka Energy Park represents a groundbreaking public-private partnership (P3) designed to position Atoka, Oklahoma, as a national leader in high-performance computing (HPC) energy infrastructure. This initiative leverages institutional-backed financing, strategic municipal collaboration, and cutting-edge energy infrastructure to deliver a cost-effective, scalable, and energy-secure solution for data centers, BTC mining operations, and national security computing needs.

The City of Atoka seeks partnership and co-sponsorship to qualify for favorable financing terms alongside Oklahoma municipalities and state agencies. Broken Arrow and other municipal co-sponsors are invited to participate under a non-binding, off-the-books obligation, ensuring zero liability encumbrances, or risk—even in the event of project failure, black swan event or default.

This collaboration preserves municipal bond ratings, borrowing capacity, and financial autonomy, with no UCC filings or financial liens affecting participating municipalities. In return, municipal partners will share and receive direct benefits estimated at \$85M–\$100M annually for the life of the project.

Anchored by a 972 MW natural gas-fired power plant, the Atoka Energy Park will operate on a 100% behind-the-meter (BTM) model, delivering private energy independence and full self-sufficiency without reliance on the traditional power grid. This innovative energy model is designed to meet the surging power demands of AI-driven computing, hyperscale data centers, and national security applications, while simultaneously creating long-term, high-yield economic opportunities for municipal stakeholders. By leveraging Oklahoma's abundant natural resources, the project will stimulate job creation, attract investment, and drive sustained economic growth throughout the state.

Strategic

The City of Atoka and its development partners have structured this project to leverage state resources and capitalize on an industry rapidly outpacing traditional energy infrastructure development. With data centers, AI computing, and high-performance workloads demanding power solutions that utilities are unable or unwilling to provide at the speed of business, Atoka Energy Park offers a scalable turnkey solution for industries needing immediate, scalable power and ultimately providing the necessary infrastructure to attract additional industry and jobs to Oklahoma.

Key Highlights: Strategic Growth & Economic Impact

1

Projected Economic Impact: \$3.5 Billion

Over its lifespan, the project will generate \$3.5 billion in direct financial benefits, creating 1,200+ construction jobs, 250+ permanent roles, and 500+ indirect jobs, while driving regional business growth.

2

Future Expansion to 2 GW

Designed for scalability, the facility will expand to 2 GW over five years, leveraging Southeast Oklahoma's abundant natural gas reserves to support AI, industrial, and high-performance computing growth.

3

\$20 Million for Workforce Development Initiative

Investing in cybersecurity, facilities maintenance, and lineman training programs, in partnership with DOD contractor, LNO, Inc. and the University of Oklahoma, to develop a highly skilled local workforce.

4

Alignment with Federal & State Energy Initiatives

The project supports U.S. energy independence, leveraging American resources to power critical industries and infrastructure development.

Strategic Positioning vs. Texas & DFW Data Center Constraints

90 miles from Dallas-Fort Worth, offering lower cost, uninterrupted power, while avoiding grid limitations and regulatory constraints.

Atoka's Key Advantages Over DFW?

- ✓ No grid dependence → Ensures stable energy pricing and uninterrupted power supply.
- ✓ Lower operational costs → Land, taxes, and regulatory fees are significantly lower than in Texas.
- ✓ Faster project approvals → Municipal utility status allows for direct energy control and quicker build-out.
- ✓ Strategic connectivity → 90 miles north of Dallas, making it easy for cloud, AI, and financial firms to expand operations.
- ✓ Cheap abundant Nat gas Supplies allows Atoka Energy Park to scale over time to the needs of regional domestic and international clients.





Regulatory & Tax Incentives: IRA Tax Benefits & Carbon Credits

1

Investment Tax Credits (ITC)

Eligible for \$442.5M in Investment Tax Credits

2

Production Tax Credits (PTC)

\$120M in annual Production Tax Credits. (This revenue will be applied toward monthly payments and debt retirement.)

3

High Efficiency Technology & Design

The Atoka Energy Park led by best-in-class contractors have designed a high efficiency Combined Cycle Turbine (CCGT) design with Heat Recovery Steam Generator (HRSG) technology, reducing emissions by 90%. Integrated solar energy and an environmentally friendly design enhance grid stability, ESG compliance, and long-term sustainability for data center clients.



Atoka's Competitive Edge

Atoka Energy Park provides a fast track, cost-effective, and scalable solution for hyperscale AI, cloud, and fintech companies seeking expansion near DFW without constraints. Its dedicated, behind-the-meter energy model ensures unmatched reliability, lower capital deployment, and rapid deployment for operations.

Tax-Exempt Municipal Revenue & Fast-Track Approvals

Operates under a municipal utility authority, ensuring a clear path for permitting, long-term tax-exempt revenue generation, and regulatory autonomy.

Municipal Authority: Under Oklahoma Statutes Title 11, Section 35-101, municipalities like Atoka are authorized to extend utility services, including electricity, beyond their corporate limits. •

Exemption from Oklahoma Corporation Commission (OCC) Oversight: As a municipality, Atoka's power generation operations are not subject to OCC regulation. • **Freedom from Ad Valorem Taxation:** The project's location, whether within or outside the city limits, is exempt from ad valorem taxes, reducing financial barriers.



U.S. Projected Power & Data Center Demand Over the Next 30 Years

The demand for power in the U.S. is expected to rise significantly, driven by AI expansion, hyperscale data centers, financial services, manufacturing automation, and national security infrastructure.

Power Demand Projections

1

AI and Data Center Demand

U.S. power demand from AI and data centers will surpass 1,300 GW by 2055, making scalable, dedicated energy hubs like Atoka Energy Park essential.

2

AI Workload Impact

AI workloads alone are driving a 165% increase in power demand by 2030 as machine learning, cloud computing, and large-scale training models consume 3-5x more power than traditional computing.

3

Data Center Capacity Growth

U.S. data center IT capacity is expected to triple within the next five years, adding 55 GW of new capacity by 2030.



National Security, AI & Data Center Expansion

1

National Security & Data Sovereignty

Provides secure, behind-the-meter energy supply for government, defense, and AI computing operations, ensuring independence from grid vulnerabilities and compliance with federal security standards.

2

Cybersecurity Training & Data Center Resilience

Establishing a Cybersecurity Training Facility to develop a specialized workforce for AI, cloud computing, and national security applications, enhancing data center resilience and operational security.

Market Drivers for Power & Data Center:

Artificial Intelligence (AI) & Cloud Computing

1 Massive Energy Demand

AI workloads require massive energy-intensive compute clusters, growing power needs exponentially.

2 Projected Growth

AI data center demand is projected to exceed 100 GW by 2035 as hyperscalers like Google, Microsoft, and Amazon continue expansion.

3 Atoka's Competitive Advantage

Abundant Nat Gas, Low-cost energy, 24/7 - 40-year power availability guarantee and proximity to DFW market.



Financial Services & High-Frequency Trading (HFT)

1 Low-Latency Requirements

Financial hubs like DFW (Dallas-Fort Worth) rely on low-latency, high-reliability power for algorithmic trading and digital finance.

2 Cryptocurrency & BTC Needs

Bitcoin mining and blockchain operations require scalable, cost-effective power solutions. Additional Revenue Stream for Atoka Energy Park.

3 Atoka's Competitive Advantage

Scalable, Uninterrupted, secure energy supply for HFT, fintech, and blockchain firms.





AI-Powered Manufacturing & Industrial Automation

1

Industry Leaders

Tesla, Boeing, and Samsung are scaling AI-driven production hubs that require real-time computing power.

2

Logistics Hubs

AI-driven logistics hubs (Amazon, FedEx, UPS) demand low-cost, reliable power for automated warehouses and supply chains.

3

Atoka's Competitive Advantage

Low-cost energy for AI-driven factories, strategically located near Texas manufacturing centers.

Content Delivery Networks (CDNs) & Streaming Services

1 Edge Computing Needs

Netflix, YouTube, and Twitch depend on edge data centers to ensure fast content delivery.

2 AI-Generated Media

The rise of AI-generated media and cloud gaming is rapidly increasing power consumption.

3 Atoka's Competitive Advantage

Efficient AI-driven media hubs close to DFW media headquarters for low-latency streaming.





Atoka Energy Park

Capacity & Infrastructure

1

Total Capacity: 972 MW

Engineered for high-efficiency power delivery, with 450 MW firm load for mission-critical clients, 450 MW curtailable load for flexible users, and 72 MW redundancy for uninterrupted operations.

2

Redundant Fuel Supply & Grid Independence

Dual high-capacity natural gas pipelines, provide redundant and scalable energy infrastructure.

3

Permitting

Due to CCGT efficiency and SCR emissions control, the project qualifies for minor source permitting, reducing regulatory burdens and expediting approval timelines.

Highly Qualified Vendors & Industry-Leading Contractors

Atoka Energy Park has strategically partnered with highly qualified vendors and industry-leading contractors to ensure world-class engineering, construction, and operational excellence. These firms are globally recognized for their expertise in power generation, electrical automation, infrastructure development, water treatment, and data center solutions, bringing proven track records, cutting-edge technologies, and industry-best practices to the project.

Vendor List

Full Contractor & Vendor List Available Upon Request.

Vendor	Category	Website
Siemens Energy	Power Generation & Electrical	www.siemens-energy.com
GE Power	Power Generation	www.ge.com
Schneider Electric	Electrical & Automation	www.se.com
Tesla Energy	Energy Storage Systems (BESS)	www.tesla.com
ABB (Hitachi Energy)	Electrical & Automation	www.hitachienergy.com



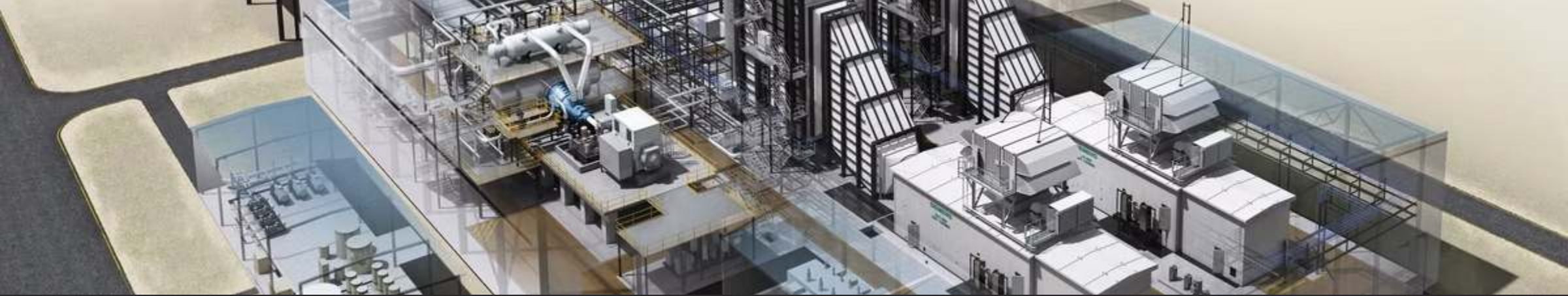
Honeywell

Honeywell®



Vendor List

Vendor	Category	Website
Johnson Controls	Cooling & Energy Efficiency	www.johnsoncontrols.com
AECOM	Civil Engineering	www.aecom.com
Emerson	Electrical & Automation	www.emerson.com
Veolia Water	Water Treatment & Filtration	www.veoliawatertechнологies.com
Honeywell Process Solutions	Electrical & Automation	www.honeywellprocess.com



Advanced Energy Technology & Environmental Sustainability Strategies

Technology Overview

Atoka Energy Park is leveraging state-of-the-art Combined Cycle Gas Turbine (CCGT) technology to maximize efficiency, sustainability, and operational resilience.

CCGT Technology Benefits

1 Efficiency Gains

CCGT technology captures and reuses waste heat, achieving 60%+ thermal efficiency, significantly higher than conventional simple-cycle plants.

2 Lower Emissions

The system integrates Selective Catalytic Reduction (SCR) technology to reduce nitrogen oxide (NOx) emissions by up to 90%, keeping air quality impacts minimal.

3 Minor Source Permitting Advantage

Due to CCGT and SCR emissions control, Atoka qualifies as a Minor Source under Clean Air Act regulations, simplifying regulatory approvals and reducing compliance costs.

4 Tax Benefits

The efficiency and emissions reductions enable eligibility for Investment Tax Credits (ITC), Production Tax Credits (PTC), and Carbon Capture Incentives under the Inflation Reduction Act (IRA).

Project Co-Sponsors: Economic Benefits & Direct Profit Sharing

- The participating communities will engage directly with the City of Atoka to implement a structured profit-sharing agreement to enable distribution of project proceeds for the life of the Atoka Energy Park Project.
- Revenue allocations will be predefined, ensuring transparency, accountability, and alignment with all risk mitigating strategies.
- Estimated Annual Payments to participating Co-Sponsors: Participating municipalities will share from project proceeds, estimated to be no less than \$85M-100M. Payments will be annually for the life of the project.



Workforce Development & Economic Inclusion

Participating communities will benefit from direct workforce development initiatives, including:

- Employment opportunities in plant operations, facilities management, cybersecurity, and skilled trades.
- Training partnerships with regional institutions to develop a skilled labor force.
- Local hiring incentives to ensure Oklahoma residents benefit from the project.



Understanding the Commitment for the City of Broken Arrow & Municipality Sponsors

Limitations to Commitment

- The City of Atoka and co-sponsors shall participate in the Atoka Energy Park project under a non-binding, off-the-books obligation, ensuring their financial independence remains intact.
- No financial liability, encumbrances, or obligations shall be placed on The City of Atoka or municipality co-sponsors, even in the case of project failure or default.
- Municipal bond ratings, borrowing capacity, and future capital access will remain unaffected.
- No UCC filings or financial liens will be associated with project financing, ensuring unrestricted financial autonomy and flexibility.

Risk Mitigation as a Financing Requirement

- All risk mitigation strategies outlined within this document are integral to the financing partners' underwriting and approval process.
- Compliance will be monitored throughout the project life cycle by third party SME lifecycle to ensure financial stability, operational security, and long-term success.

Project Plan Approval & Contractor Standards

- The project plan must be reviewed and approved by third party SMEs as apart of underwriting entity to ensure financial feasibility and alignment with underwriting standards.
- All project vendors and contractors must meet or exceed the highest performance industry standards and aligning with insurance requirements and complete comprehensive underwriting vetting.
- Funding approval is also contingent upon business model meeting risk assessment goals, developmental standards and implementation of all risk mitigation criteria.

Monthly Payment Reserve Fund, Escrow, Debt Reduction & Insurance

1

Monthly Payment Reserve

The CapEx budget includes no less than a 9-month reserve, ensuring financial stability and uninterrupted payment obligations.

2

Dedicated Escrow Account

Within the first year of operations, a dedicated escrow account will be funded by project proceeds to support financial obligations of the City of Atoka and co-sponsors, as stipulated in the Master Utility Service Agreement (MUSA).

3

Expanded Monthly Reserve

An additional six-month reserve shall be secured, ensuring a total of 15 months of reserves within the first two years of operations.

4

Debt Reduction Commitment

The City of Atoka will allocate an additional \$75-100 million annually toward the debt principal, ensuring project sustainability and maintaining strong creditworthiness.

5

Business Valuation

Day 1 valuation of business estimated to be \$8.5-11 billion. A qualified industry SME will conduct an annual valuation to ensure the Energy Park remains profitable, saleable, and financially secure.

Comprehensive Operational Insurance Protection

The Atoka Energy Park shall maintain a full suite of industry-standard insurance policies covering:

- Financial risk mitigation, including debt obligations.
- Operational risks, infrastructure resilience, and workforce safety.
- Environmental liabilities, ensuring full compliance with regulations.
- Cybersecurity protection for data centers and municipal infrastructure.
- Business continuity for unforeseen economic or operational disruptions.

Offtake Customer & Contract Protections

Offtake Client Requirements

Structured agreements tailored to industry demand and long-term viability.

- **Target Clients:**
 - AI and High-Performance Computing (HPC) Data Centers
 - Cryptocurrency mining operations
 - Government and military users
 - Financial institutions & high-frequency trading platforms
- **Client Pre-Qualification:** Clients must demonstrate financial stability and long-term commitment to ensure reliability.

Industry Standard Contract Terms

Ensuring stability and alignment with global data center energy agreements.

- **Take-or-Pay Agreements:** Clients commit to minimum power usage, ensuring revenue stability.
- **Adaptive Pricing Models:**
 - **Cost-of-Gas Integration:** Adjusts pricing with natural gas market conditions.
 - **Price Escalation Clauses:** Reflects inflation and operational cost changes.
- **Performance Guarantees:** Minimum power delivery commitments ensure reliability for mission-critical operations.

Client Contract Terms & Duration

Long-term agreements ensure financial predictability and industry competitiveness.

- **Crypto Contract Terms:** 10+10 years with rolling renewals.
- **AI and Data Centers:** 20+ year contracts with rolling renewals.
- **Annual Pricing Adjustments:** Reflects energy market trends and operational cost shifts.

Status & Timing of Long Term PPAs

100% of plant capacity is projected to be pre-contracted and structured as long-term lease and PPA agreements within 100 days of funding and at least 24 months before plant operations commence.



Future Expansion and Scalability

Phase 1: 972 MW

2027 - Initial plant capacity serving data centers and Bitcoin mining operations

Phase 2: 1.5 GW

2029 - Expansion to meet growing AI and cloud computing demands

Phase 3: 2 GW

2032 - Full capacity reached, supporting diverse high-performance computing needs

Atoka Energy Park

Powering Oklahoma's Future in Computing

The Atoka Energy Park project represents a transformative opportunity for Oklahoma, positioning the state at the forefront of the high-performance computing and AI revolution. By leveraging strategic partnerships, cutting-edge technology, and a commitment to sustainability, Atoka is set to become a premier hub for data centers and advanced computing infrastructure. With robust financial protections, significant economic benefits, and a clear path to scalability, this project promises to drive long-term growth, for its city and innovation in the region.

